Intelligent Investing

ET Prime Special Series: Multibagger or IBC - Part 74: This auto ancillary has monopoly over a part which EVs can't kill



Synopsis

For many old auto suppliers, EVs raise an existential question: Will their product still be required? Here, the debate is different. The basic content remains relevant across ICE, hybrid, and EVs, while newer ve[illegible] advanced versions of it through sensors, acoustic features, thermal control, and connected unusual combination of defensive relevance and premiumisation potential. It supplies passenger car market for what it makes. Yet in FY 2025-26 its consolidated profit fell even the company just finished the largest investment cycle in its histor

On paper, this should be one of the safest bets in th whole series. The company supplies roughly eight out of every 10 cars sold in India with an essential part. Its product does not disappear when engines do; if anything, newer cars need more of it. It is, in it field, close to a monopoly. And yet last year, its profi fell. Not because sales dropped, they grew. Not because the factories ran badly, they ran better.

Some companies enter this series because survival itself is uncertain. This one does not. That makes the

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investigation more difficult, not less.

When bankruptcy risk is obvious, investors know where to look: Debt, cash flows, and liquidity. With an established company, the bigger risk can be subtler. A business can remain healthy, keep growing, and still deliver mediocre shareholder returns if too much capital is required to generate that growth.

So Part 74 is not a survival test. It is a quality-of-growth test: How efficiently does the business convert its competitive position, assets, and capital into profit, cash, and returns?

The company we will be taking a deep dive into is **Asahi India Glass Limited** (ASAHIINDIA).

But first... about our headline

Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

*This series on **auto ancillary companies** works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.*

For previous stories in this AA Series, kindly click on the respective links -Intro, 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17, 18, 19, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 30, 31, 32, 33, 34, 35, 36, 37, 38, 39, 40, 41, 42, 43, 44, 45, 46, 47, 48, 49, 50, 51, 52, 53, 54, 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65, 66, 67, 68, 69, 70, 71, 72, 73

1 Carmaker to 3 Businesses

Asahi was incorporated in 1984 as Indian Auto Safety Glass Private Limited. A joint venture agreement was executed between the Labroo family Asahi Glass Co. Limited of Japan, and Maruti Udyog

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Limited. The name changed to its present name, **Asahi India Glass** Limited, in 2002-03.

The early business was narrow. Commercial production of toughened automotive glass started in 1987, supplying a single customer, Maruti Udyog. The company completed its initial public offer in the same period. The expansion after that was steady rather than dramatic.

Exports to Europe began in 1993, alongside new customers including TELCO, Mahindra & Mahindra and DC Toyota. In 1996, the company became the first Indian glass manufacturer to produce laminated glass.

In 2002 it took control of Float Glass India Limited with a 79.6% stake, which merged into Asahi the following year. This changed the company's character. It stopped being a glass processor and became a glass manufacturer.

By 2005 it had a plant in Chennai, Tamil Nadu, and an integrated glass plant at Roorkee, Uttarakhand. Architectural processing facilities followed in Chennai and Rewari, Haryana, in 2006, and a second float plant at Roorkee in 2007.

The company entered tractors in 2013, earth-moving equipment and buses in 2014, and commissioned the fire-rated glass facility in 2023. The most recent milestone is the largest. The Soniyana float glass plant in Rajasthan commenced commercial operations in 2025.

The pattern is worth dwelling on. Asahi grew by moving upstream. Each step took it closer to the raw material and further from being a simple job-work supplier.

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Source: Annual Report FY26

The manufacturing footprint has expanded alongside that strategy. The FY26 annual report highlights 15 manufacturing units, along with automotive warehouses, and sub-assembly facilities. Float capacity stood at 2,150 tonnes per day, laminated capacity at more than 10 million pieces, and tempered capacity at more than 7.6 million car sets.



Source: Annual Report FY26

Yet scale alone is not the interesting part. What Asahi puts into those factories is changing.

From Glass to More

At its simplest, automotive glass is easy to

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understand. A windscreen is the transparent front wall of the vehicle. Sidelites are the windows beside passengers. A backlite is the rear window. A sunroof moves glass to the roof. Quarter glass fills smaller fixed openings around the body.



Source: Annual Report FY26

But the value of these products no longer comes only from being transparent. Asahi's windscreen portfolio includes acoustic, infrared-cut, heated, HUD (head-up display) and AR-HUD (augmented reality-head up display) products, along with rain-sensor and ADAS-ready (advanced driver assistance system) windscreens.

Its side-window products include UV-cut, water-repellent, privacy, solar-control, and acoustic laminated variants. Backlites can incorporate defoggers, antennas, privacy, and solar-control features. Sunroofs range from conventional tilt-and slide products to panoramic, fixed laminated and illuminated versions.

Think of the old windscreen as a transparent wall. The newer windscreen is moving closer to a screen, sensor carrier, and climate-control surface at the same time. The glass itself can help reject heat, reduce cabin noise, accommodate cameras or sensors, and provide the surface through which a head-up display is projected.

Asahi's own technology discussion describes glass

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increasingly becoming a platform for safety, energy management, and information.



Source: Annual Report FY26

This is where the EV transition becomes interesting for Asahi. Automotive glass remains part of the product portfolio as vehicles electrify, spanning windscreens, sidelites, backlites, and sunroofs. At the same time, the annual report says technological shifts are increasing the value-added content per vehicle.

It says electrification is converging with connected, digital, and smart technologies, while ADAS, HUDs, and cameras are becoming standard. It adds that windscreens and windows increasingly need solar-control coatings, acoustic layers, HUD compatibility and sensors. Asahi also notes that **EVs** and premium ICE models demand lightweight laminated and panoramic-glass solutions.

That transition is visible in FY26 product development. Asahi's programmes included AR-HUD windscreens, heated windscreens, solar-control coatings, PDLC glass, illuminated sunroof solutions, PU encapsulation systems, and frameless laminated sidelites.

With all this, it says it supported 13 OEM model launches in FY26. The disclosed list spans conventional and electric programmes, including Maruti's e-Vitara, Mahindra's eXUV700, and an Ola

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electric three-wheeler alongside several other models.



Source: Annual Report FY26

That does not mean every EV automatically carries more content. It means the transition does not remove the basic addressable product. Instead, the upside depends on whether advanced glazing, larger glazed areas, panoramic roofs, sensors, and premium features become more common.

That is a much better starting position than having to defend an engine-dependent product. And Asahi begins from a strong market position. It says it holds roughly 80% of the Indian passenger-car glass market. Automotive Glass generated Rs. 3,369.31 crore in FY26.



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Source: Annual Report FY26

The customer list stretches well beyond passenger cars. Asahi supplies vehicle makers across commercial vehicles, buses, railways, metros, tractors, three-wheelers, and off-highway equipment. It also supplies products for household appliances.

So the automotive franchise is broad by application. By geography, however, it is not. The annual report disclosures show exports contributed only 0.36% of turnover in FY26. The business remains overwhelmingly tied to domestic demand.

That makes India's vehicle cycle important, but it also makes the second half of the business worth understanding.

Auto Pays the Bills

Asahi's strategic presentation speaks of three SBUs (strategic business units). These are: Automotive Glass, Architectural Glass and Consumer Glass.

For FY26, **Automotive Glass** generated external revenue of Rs. 3,369.31 crore, while Float Glass generated Rs. 1,261.95 crore. The group reported total income of Rs. 5,031.03 crore.



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Source: Annual Report FY26

The **Architectural Glass** business starts with float

glass, which Asahi describes as the upstream foundation of the segment's integrated value chain. From there, the company produces clear and tinted glass, coated and reflective glass, mirrors, decorative products, and a range of processed and value-added glass solutions.

Its float-glass facilities at Roorkee, Taloja and Soniyana form the upstream manufacturing base. Asahi also links its float-glass production with captive downstream automotive and architectural processing, with the Soniyana plant specifically built to supply the automotive segment.

The architectural portfolio then moves downstream into processed and higher-value glass products.

Asahi sells solar-control and energy-efficient glass, decorative glass, insulated glazing, acoustic products, impact-resistant glass, burglar-resistant glass and fire-resistant products, among others.



Source: Annual Report FY26

The simple analogy is a blank sheet versus a finishe solution. Basic float glass is the raw canvas. Coatings, laminates, insulation, acoustic treatment, security features and design convert the same broad material into a product with a specific job.

Asahi says it has around 26% share in domestic value-added glass, and the architectural business generated Rs. 1,261.95 crore in FY26.

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Urbanisation gives the business a structural demand driver. The annual report points to rising residential, office and infrastructure construction, along with larger glazed facades and demand for energy-efficient buildings, as drivers of float and processed glass demand.

But this side of the business has a different risk profile from auto glass. Asahi points to cheaper imports from China and Southeast Asia as a source of pricing pressure, particularly in architectural glass. While anti-dumping measures provide protection, the annual report acknowledges that such safeguards are finite and it ultimately has to compete on quality and cost.

There is another important difference: Capital intensity. As of March 2026, the consolidated Float Glass segment carried Rs. 3,838.54 crore of segment assets, compared with Rs. 3,395.91 crore in Automotive Glass. Yet its FY26 external revenue was only Rs. 1,261.95 crore against Rs. 3,369.31 crore for Automotive Glass.

That contrast tells investors why capacity utilisation in float glass matters so much.

The third strategic leg is **Consumer Glass**. Asahi consolidated several entities into AIS Consumer Glass Solutions during FY26. The subsidiary now houses businesses including Windows and consumer-facing glass solutions, while Windshield Experts serves the automotive repair and replacement market.

Windshield Experts was present in 79 cities through 151 centres or dealers at year-end, according to the annual report. Its services include vehicle-glass repair and replacement, along with related car-care services.

The strategic logic is clear. Automotive glass gives scale and OEM relationships. Architectural glass provides construction exposure. Consumer businesses take it closer to replacement demand and end users.

Asahi's revenue mix has shifted steadily towards

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auto glass. Automotive Glass accounted for 54.7% of revenue from operations in FY23, rising to 61.4% in FY24, and 65.5% in FY25. In contrast, Architectural Glass declined from 43.5% in FY23 to 35.2% in FY24, and 29% in FY25. Consumer Glass moved the other way, increasing from 5.8% to 8.1% and then 16.7% over the same period.



Source: QIP Placement Document

The FY26 audited segment disclosure gives a cleaner picture on external revenue. Automotive Glass contributed Rs. 3,369.31 crore, or about 67.6% of external revenue. But diversification also increases the amount of capital that has to earn an adequate return. Which brings the story to the number that matters most.

The Rs. 2.5K Crore Question

Asahi says it deployed roughly Rs. 2,500 crore between FY23 and FY25 in what it calls the largest strategic investment programme in its history. The money went into manufacturing capacity, vertical integration, localisation, and advanced products.

The programme included the Soniyana F3 float-glas plant, expansion at Patan and the Kharkhoda on-site assembly operation. The spending did not stop there. Asahi invested another Rs. 666.26 crore in FY26.

Capital work-in-progress also fell from Rs. 562.04

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crore to Rs. 444.55 crore by March 2026. That is consistent with the business moving from construction towards commissioning and utilisation.

There is more spending ahead. The Company has outlined another Rs. 439 crore of FY27 investment for new laminated lines, encapsulation capacity, backlite production, and press-bend windshield capability.

But the direction of management commentary has clearly changed. The chairman's FY26 message says the significant investment phase has been completed and that the next phase must focus on consolidation, optimisation, cash generation, and higher returns.

That is exactly where investors should focus, because FY26's financials already show both sides of the transition. Total income grew 8.74% to Rs. 5,031.03 crore. Management says EBITDA margin improved to 19.25% from 17.25%. Automotive and Float Glass segment results also increased.

Yet profit after tax fell from Rs. 367.3 crore to Rs. 345.06 crore, a decline of around 6%. Why?

The commissioning of new projects also raised below-EBITDA costs. Depreciation and amortisation rose from Rs. 191.52 crore to Rs. 284.66 crore, while interest expense increased from Rs. 128.30 crore to Rs. 203.85 crore.

So FY26 delivered an important split. Operating performance improved, but the cost of the capital used to create that capacity weighed on bottom-line returns.

Consolidated RoE fell from 14.93% to 10.48%. RoCE slipped from 11.78% to 11.25%. Net profit margin fell from 8.08% to 6.92%. The management pointed to the RoE decline as a consequence of the larger equity base after the qualified institutional placement (QIP).

The capital raise also helped repair leverage as debt equity improved to 0.52 times from 0.96 times. That makes the balance sheet less stretched. But it does

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not answer the economic question.

For the investment cycle to work, the new capacity has to lift earnings faster than the capital base over time. And capital efficiency is not the only item that deserves attention.

1 Customer, Related Parties & the Fineprint

Asahi's biggest strength and one of its biggest concentration risks come from the same relationship. The segment notes say that a single external customer generated Rs. 872.97 crore in FY26, enough to cross the 10% disclosure threshold.

A separate disclosure shows FY26 sales of goods and services to **Maruti Suzuki India Limited** of Rs. 872.97 crore, effectively identifying that customer. Maruti is also classified as a promoter and held 10.59% of the company as of March 2026.

That is quite a concentration. But it is not a new or hidden relationship. Maruti has been part of Asahi's history since its formation and remains both customer and shareholder.

The investor question is therefore less about discovering the relationship and more about monitoring its economic terms, diversification, and whether new programmes broaden the customer mix. Asahi's customer portfolio does show relationships across many passenger-vehicle makers and other mobility segments.

Related-party activity goes beyond Maruti. For FY26 related parties represented 28% of sales, 23% of purchases and 78% of loans and advances, according to the company's disclosures.

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Source: Annual Report FY26

Again, high related-party exposure is not proof of an accounting or governance problem. Asahi operates through subsidiaries, associates, and promoter relationships, so some transactions are structurally expected.

But the size means investors should not treat the related-party note as boilerplate. As of March 2026, Asahi had Rs. 113.82 crore recoverable from subsidiaries as loans and advances, and another Rs. 286.81 crore of other recoverables from subsidiaries.

The financial statements also disclose Rs. 87.70 crore of loans to three subsidiaries that fall within the category of loans repayable on demand or without specified repayment terms.

These are numbers to monitor alongside the economics of the subsidiaries themselves.

Two continuing subsidiaries were loss-making in FY26. Integrated Glass Materials reported a loss of Rs. 7.54 crore, while Shield Auto Glass reported a los of Rs. 0.86 crore. AIS Consumer Glass Solutions, by comparison, reported a profit of Rs. 24.43 crore.

Separately, the auditors drew attention to accumulated losses and current liabilities exceedin current assets at three erstwhile subsidiaries. These were AIS Adhesives Limited, AIS Distribution Services Limited, and GX Glass Sales & Services Limited.

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All three were merged into AIS Glass Solutions Limited, with effect from July 1, 2025. AIS Glass Solutions was subsequently renamed AIS Consumer Glass Solutions Limited.

The auditors clarified that these matters did not adversely affect the going-concern status of the group as a whole, and their opinion was not modified.

Tax and customs litigation also needs context. The dispute table shows more than Rs. 350 crore of customs-duty matters, alongside GST, sales-tax, income-tax and other cases.



Source: Annual Report FY26

The group says several customs notices are being contested, that similar matters have previously bee decided in its favour, and that it does not foresee significant liability on those matters. Some overlapping demands are excluded from the disclosed amount.

That is management's and the group's stated position. Investors should still keep the disputes on the checklist rather than assume a zero outcome.

There is also one shareholding detail worth noting. Promoter and promoter-group holding fell from 54.19% in March 2025 to about 51.58% in March 202 Most of this decline came from dilution after Asahi

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issued 1.18 crore new shares through its Rs. 1,000 crore QIP.

The three largest promoters, AGC Inc, Maruti Suzuki India, and Mr/ Sanjay Labroo, did not reduce their share counts, although the detailed filing shows some selling by smaller promoter-group shareholders.



Source: Annual Report FY26

Institutional ownership increased at the same time. By June 2026, FIIs held 4.85% and DIIs 5.26%, compared with lower levels a few years earlier. Public ownership stood at 38.31%.

One caveat remains. The June 2026 BSE shareholding shows 44.15 lakh promoter shares pledged or otherwise encumbered, indicated as around 3% of promoter holdings in the filing. It is not a large portion of the promoter holding, but it belongs on the monitoring list.

None of these points individually overturns the operating franchise.

EV Disruption

The easiest way to misread Asahi is to classify it as an old auto ancillary business facing an electric future. Its actual transition risk looks different.

The core physical need for vehicle glass does not

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disappear when an engine is replaced by a battery and motor. If anything, the company's disclosed product roadmap is moving towards more functions per surface: ADAS, HUDs, acoustic control, UV and IR management, sensors, panoramic roofs and smart glazing.

That gives Asahi a route to grow value per vehicle without depending entirely on vehicle volumes.



Source: Annual Report FY26

The other route is localisation. Asahi says 66% of input material by value was directly sourced from within India in FY26, up from 54% a year earlier.

Energy is another large part of the equation because glass manufacturing is energy intensive. The company is adding solar capacity, waste-heat recovery, and bilateral renewable-power arrangements. A disclosed agreement with Adani Green Power covers 4 MW of blended solar and win power, while other projects take the disclosed renewable portfolio to 10.29 MW.

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Source: Annual Report FY26

These moves matter because raw-material and energy cost volatility remains a structural risk. Silica, soda ash, gas and power all affect glass economics.

Technology is the other side of that moat. Asahi has in-house R&D centres at Bawal and Taloja. Reported expenditure at the specified R&D centres was Rs. 6.96 crore in FY26, modest relative to the group's size.

The future moat will not be measured simply by how much Asahi labels as R&D. It will be measured by how successfully it turns development programmes into higher-value products, new OEM programmes, and better margins without requiring another large capital cycle.

And that brings the investor back to management's own stated objective. For FY27, Asahi wants to finish the Soniyana ramp-up, commission Patan Phase 3, expand architectural capacity and improve sub-assembly productivity. Over the medium term, it wants EV-linked value-added glazing to become a larger share of Automotive Glass revenue.

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Source: Annual Report FY26

The pieces are therefore already visible. There is a leading automotive franchise with about 80% share in Indian passenger cars. There is a product that largely survives electrification and can gain more electronic, acoustic and thermal content. There is an upstream float-glass business that adds vertical integration but also adds capital intensity and exposure to imports. There is a small but expanding direct-to-consumer layer.

And there is a stronger balance sheet after a Rs. 1,000 crore QIP and debt reduction.

But there is also a return profile that has yet to demonstrate the full payoff from years of spending. That makes the next few years different from the last few. For much of the previous cycle, investors could ask how much capacity Asahi was building. The more important question now is simpler: What will that capacity earn?

Dividend & Earnings

EPS tells an investor how much profit belongs to each share, while DPS shows how much of that profit the company distributes as dividend.

Asahi's earnings history has changed considerably over the past decade. Adjusted EPS was negative between FY12 and FY14, recovered gradually thereafter and moved into the Rs. 13-15 range from FY22 onwards. FY25 produced adjusted EPS of Rs.

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15.27, but this fell to Rs. 13.52 in FY26.

The FY26 decline in EPS was sharper than the decline in consolidated PAT. PAT fell about 6%, while EPS fell around 11.5%. Part of that difference is explained by the QIP. The larger share count meant the year's profit was spread across more shares.

Dividend behaviour has been much steadier. Asahi has paid Rs. 2 per share every year from FY22 through FY26 despite fluctuations in EPS. The payout ratio remained modest at 14.79% in FY26, compared with 13.10% in FY25. It therefore continued to retain most of its earnings rather than distributing them. That approach is consistent with the investment-heavy period discussed earlier.

Asahi India Glass Ltd - DPS & EPS

Amounts as per consolidated financial statements

Description	FY26	FY25	FY24	FY23	FY22	FY2
Adjusted EPS (Rs)	13.52	15.27	13.49	15.01	14.18	5.4
Adj DPS (Rs)	2.00	2.00	2.00	2.00	2.00	1.0
Dividend Pay Out Ratio (%)	14.79	13.10	14.82	13.32	14.10	18.2

Finally, the Financials

Revenue and profit alone do not tell the full story. A company also has to convert profit into cash, fund expansion without overstretching the balance sheet, control working capital and earn a reasonable retur on the capital invested.

For Asahi, this is particularly important because the company has just completed one of the largest investment cycles in its history. The financial statements therefore help test whether the new capacity is beginning to justify the money put into it.

Gross sales increased from Rs. 3,170 crore in FY22 to Rs. 4,982 crore in FY26, up roughly 57%, or about 12% a year. FY26 alone saw sales increase about 8.4% from Rs. 4,594 crore.

The important point, however, is that profit has not

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grown at the same pace as sales. PAT was Rs. 342.76 crore in FY22 and Rs. 345.06 crore in FY26. In between, it moved between roughly Rs. 325 crore and Rs. 367 crore.

So, while the company became considerably larger, bottom-line profit remained broadly around the same level over these four years. As discussed earlier, the pressure came from the higher depreciation and finance costs.

Asahi India Glass Ltd - Income Statement

Amounts as per consolidated financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	
Gross Sales	4,982.15	4,594.25	4,340.59	4,018.76	3,1
Total Income	5,031.03	4,626.47	4,365.86	4,035.15	3,1
Total Expenditure	4,071.99	3,828.35	3,618.64	3,223.91	2,4
Gross Profit	3,498.75	2,916.18	2,698.34	2,635.81	2,2
PAT	345.06	367.30	325.05	361.67	3
Cash Profit	629.72	558.82	501.89	521.32	5

Debt increased from Rs. 1,203 crore in FY22 to Rs. 2,530 crore by FY25. That is an increase of more than Rs. 1,300 crore and roughly a doubling in three years. The increase coincided with the large capacity programme discussed earlier. FY26 marks a clear change. Total debt fell to Rs. 2,058.67 crore.

The equity raise is visible directly in the balance sheet. Paid-up capital increased from Rs. 24.31 crore to Rs. 25.49 crore, while reserves and surplus jumped from Rs. 2,644.69 crore to Rs. 3,906.60 crore. Net worth consequently increased by about Rs. 1,263 crore to Rs. 3,932.09 crore.

Capital employed nevertheless continued to rise, reaching Rs. 5,990.76 crore in FY26 from Rs. 2,965.57 crore in FY22.

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Asahi India Glass Ltd - Sources of Funds

Amounts as per consolidated financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	
Equity Paid Up	25.49	24.31	24.31	24.31	
Reserves and Surplus	3,906.60	2,644.69	2,329.14	2,050.22	1,7
Net Worth	3,932.09	2,669.00	2,353.45	2,074.53	1,7
Total Debt	2,058.67	2,530.48	1,878.54	1,353.38	1,2
Capital Employed	5,990.76	5,199.48	4,231.99	3,427.91	2,9

The asset side shows what the higher debt and capital were largely funding. The supplied gross-block figure increased from about Rs. 3,019 crore in FY22 to Rs. 5,982 crore in FY26, almost doubling in four years. The biggest single increase came in FY25, when gross block rose from Rs. 3,644 crore to Rs. 5,243 crore. It increased by another Rs. 740 crore in FY26.

Liquidity also improved in FY26. Cash and bank balances increased from Rs. 164.54 crore to Rs. 245.31 crore, while net current assets jumped from Rs. 148.58 crore to Rs. 698.14 crore. Current liabilities simultaneously fell from Rs. 1,866.29 crore to Rs. 1,631.55 crore.

Asahi India Glass Ltd - Application of Funds

Amounts as per consolidated financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	
Gross Block	5,982.43	5,242.87	3,644.21	3,251.82	3
Investments	77.72	49.71	85.21	111.85	
Cash and Bank balance	245.31	164.54	178.62	118.37	
Net Current Assets	698.14	148.58	48.19	128.09	
Total Current Liabilities	1,631.55	1,866.29	1,694.39	1,617.18	1
Total Assets	7,772.25	6,789.80	5,499.61	4,580.35	3

Cash flow from operations, or CFO, fell from Rs. 719.97 crore to Rs. 501.69 crore, a decline of about 30%. At the same time, CFO still exceeded PAT of Rs

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345.06 crore by a comfortable margin.

Asahi India Glass Ltd - Cash flow from operations

Amounts as per consolidated financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Cash Flow from Operations	501.69	719.97	653.34	401.57	586.06

The returns data captures the main unresolved financial question after the expansion. The RoCE fell from 21.29% in FY22 to 20.89% in FY23, 15.10% in FY24, 13.59% in FY25 and 11.84% in FY26. That fall needs to be viewed alongside the doubling of capital employed discussed earlier.

This is exactly why management's shift from capex to “consolidation, optimisation, superior cash generation and higher returns” matters financially. The next test is utilisation and return generation.

The market, meanwhile, became substantially more valuable despite weaker FY26 earnings. Market capitalisation increased from Rs. 14,639 crore in FY25 to Rs. 20,025 crore in FY26, while adjusted PE expanded from 39.43x to 58.09x.

Asahi India Glass Ltd - Key Data Points

Amounts as per consolidated financial statements

Description	FY26	FY25	FY24	FY23
ROCE (%)	11.84	13.59	15.10	20.89
Market Capitalization (INR Cr)	20,024.94	14,639.48	13,008.28	10,995.41
Equity Dividend (%)	200.00	200.00	200.00	200.00
Dividend Yield (%)	0.25	0.33	0.37	0.44
Adjusted PE (x)	58.09	39.43	39.66	30.13

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How do you usually track your market trades?

Answer required

- Glued to charts during market hours
- Checking prices between office meetings
- Looking for a 15-min daily routine

Asahi India Glass Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	Open	High	Low	Close
September 1, 2026	959.95	959.95	949.50	951.00
January 6, 2000	11.67	11.67	11.67	11.67

Verdict: The Returns Test

Supplying glass to roughly eight out of 10 Indian passenger vehicles gives it scale and customer access, but it does not automatically translate into high profitability. FY26 makes that distinction clear. The company has spent on capacity, localisation and integration, while net profit margins remain in single digits.

The investment phase is now largely behind it. Management itself says the next phase is about consolidation, optimisation, stronger cash generation and higher returns. That changes the question for investors. Asahi has already shown that it can build capacity and defend market share. The next test is whether those assets can generate enough profit, cash and returns to justify the capital invested.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

If it has admitted to a threat, what does it plan to do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

Will also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies

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ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

Stock Reports Plus, powered by Refinitiv, is a comprehensive research report that undertakes an in-depth quantitative analysis to generate standardised scores for each of the five key components. A simple average of these scores is then normally distributed to reach an average score. Each stock is ranked on a scale of 1 to 10. A score of 8 to 10 is considered positive, 4 to 7 is neutral, and 1 to 3 is considered a negative outlook.

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